

Q&A

“Our aim is to gain market share, grow faster than industry”

Prashant Tripathy, MD and CEO of Max Life Insurance, reflects on FY24, what’s in store for the life insurance company, AI interventions, and more

BY TEENA JAIN KAUSHAL • PHOTO BY HARDIK CHHABRA

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IN RETAIL SALES, *Max Life Insurance currently holds 9.4% market share of the private life insurance industry and upwards of 6% of the total industry. Prashant Tripathy, 53, MD and CEO of Max Life Insurance, says a delta of 5-6% above the industry will help the company gain further market share. In an interview with Business Today, Tripathy breaks down the FY24 numbers and talks about the growth drivers. Edited excerpts:*



How has FY24 been for your company?

FY24 was a very successful year. On an adjusted retail sales basis, we grew at more than three times the rate of the overall industry and double the rate of the private industry.

Our policies grew by 20%. We grew 2.2 times faster than the private industry in terms of the number of policies. Overall, from a sales

perspective, it was a very good year.

The value of new business (VNB) was positive, but as part of our chosen strategy, we indicated that this year we would focus more on capturing market share. Our market share in the private space has increased by 61 basis points.

which is the product of the two. But next year we aim to be consistent with our growth in sales. The previous year’s unusually-high margin of 31% was not sustainable, as it included significant non-par sales. However, our margins improved every quarter, finishing the last quarter with a 28.6% margin.

aim to achieve expedited growth in under-penetrated sectors like health and annuities. Then, we plan to continue to grow and expand our partnerships.

Fourth, we are heavily investing in technology, with a focus on AI and cloud infrastructure. We are also developing a super app for our sell-

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Why did the VNB increase by just 1%?

The primary reason is that last year (FY23) had been exceptional. We typically have a margin between 26% and 27%, and it came back to that range this year. This year, our margin decreased and sales increased, affecting VNB,



What is your strategy for FY25?

Our strategy is straightforward—to gain market share and grow faster than the industry. To achieve this, our focus is on a few key areas.

First, we plan to continue to invest in our proprietary channels. Second, we

ers and a customer app to enhance interaction and efficiency.



Which product gives you the most margins?

Typically, margins are higher in protection, non-participating savings [policies], and annuities. The participating business